

Week 56 -- Research Report (2026-10-05)

Run Monday morning rather than over the weekend, after a disk-full failure stopped Saturday's attempt. No buy, for the second week running -- and this time the report carries the evidence for why the screen cannot produce one, because that question now matters more than the week's candidate list.

1. Scoreboard

Metric	Value	Note
Gap vs S&P-equivalent, since re-base (2026-09-11)	73.73% (?\$27.61: \$712.20 vs \$739.81)	the scoreboard
Gap vs S&P-equivalent, since inception (2025-09-19)	78.12% (?\$62.92: \$712.20 vs \$775.12)	context only; TWR alpha 73.24%
Current drawdown from peak	73.33%	clear -- DE-RISK at 720%, CASH at 730%
Regime	RISK-OFF, IWM 73.78% vs its 50-day (\$281.52 vs \$292.58)	24 sessions, since 2026-08-31
Equity · cash · deployable above the 15% floor	\$712.20 · \$605.25 (85.0%) · \$498.42 (70.0%)	floor \$106.83
Buys sought · stage-1 checks	3 · 15	from <research_trigger>

All figures are Friday 2026-10-02 closes. The run happened just after Monday's open, so the <price_volume> block holds partial intraday prints; they are not used anywhere in this report.

The gap widened 1.46pp in a week, and the arithmetic is simple: **ATRC's exit banked +\$62.82 but removed the only asset that could move the book.** What remains is one 15% position and 85% cash, so the scoreboard now tracks the S&P almost mechanically -- down when it rises, flat when it falls.

2. Deployment -- the research funnel

Capacity under RISK-OFF: up to 3 catalyst plays at standard sizing, plus screener-sourced entries at half the risk budget (1%) and only on the defensive profile. Buys sought: 3. **Blackout: ATRC (9 sessions left) and HOPE (7) are banned from re-entry and were excluded from the draw rather than spending quick checks** -- the first week the computed <blackout> did that work.

The constraint, measured

The FOCUS this week was to stop asserting that the RISK-OFF gate is tight and measure it. Across all 100 screened names:

Threshold	Names clearing it
rank_low_vol >= 0.90	54 / 100
vol_5_50 > 1.0	73 / 100
near_high >= 75%	16 / 100
All three -- the defensive profile	2 / 100
All three and above the 50-day SMA (the hard entry rule)	1 / 100

Pairwise, the binding constraint is unambiguous: low_vol ? vol_5_50 leaves 37 names, while low_vol ? near_high leaves 6 and near_high ? vol_5_50 leaves 8. The scarce condition is proximity to the 60-day high, by a factor of three to five over the other two.

And that is structural, not a bad week. near_high requires a name within 5% of its 60-day high; RISK-OFF is defined as the index trading more than 1% below its 50-day average. The gate

demands stocks near their highs in precisely the regime defined by the market not being near its own. The allowance is anti-correlated with the condition that invokes it. Week 55 produced one qualifier, Week 56 produced one, and both times it was LTC -- the same name, passed on merit each time at under 5% consensus upside against a Hold.

This is an observation for the rules process, not a change made here. The RISK-OFF screener allowance already carries a sunset at Phase 4; this is evidence to bring to that review, and the pre-registered test should probably ask whether near_high is the right third condition rather than whether the allowance survives at all.

Stage 1 -- quick checks

#	Ticker	Source	Sector	Mkt cap	Rev growth	vs 50d	Next earnings	Result
1	ELME	screener #1	Real Estate	\$156M	+3.4%	+6.04%	2026-10-22	PASS · negative-earnings
2	LTC	screener #3	Real Estate	\$2.32B	+59.4%	+4.18%	2026-11-03	PASS · valuation
3	AMN	screener #5	Health Care	\$1.41B	+24.0%	+7.02%	2026-11-05	PASS · valuation
4	PLX	screener #9	Health Care	\$218M	+30.1%	+6.73%	~2026-11	PASS · profile, no coverage
5	CCO	screener #11	Communication Services	\$1.22B	+9.1%	+0.34%	2026-11-05	PASS · negative-earnings
6	DRH	screener #13	Real Estate	\$2.56B	+1.0%	+0.41%	2026-11-03	PASS · profile, no catalyst
7	LPG	screener #14	Energy	\$2.47B	+80.5%	+13.02%	2026-11-05	PASS · valuation
8	WK	screener #24	Technology	\$3.94B	+19.7%	+1.90%	2026-11-04	PASS · profile (near_high)
9	AVPT	screener #29	Technology	\$3.00B	+25.0%	+5.77%	2026-11-05	PASS · profile (low_vol)
10	CHEF	screener #31	Consumer Defensive	\$4.79B	+11.2%	+5.76%	2026-10-28	PASS · valuation
11	GO	screener #33	Consumer Defensive	\$1.14B	+5.1%	+5.76%	2026-11-03	PASS · negative-earnings
12	SBH	screener #34	Consumer Cyclical	\$1.49B	+1.1%	+0.02%	2026-11-12	PASS · valuation
13	NTCT	screener #40	Technology	\$2.96B	+5.8%	+5.00%	2026-11-05	PASS · valuation
14	LILAK	screener #42	Communication Services	\$1.66B	+1.3%	+0.87%	2026-11-04	PASS · negative-earnings
15	TH	screener #49	Industrials	\$1.88B	+11.9%	+4.27%	2026-11-05	PASS · negative-earnings

Spread: ranks 1-15 -> 7 names; ranks 16+ -> 8; GICS sectors -> 8; below \$2Bn -> 8. All four quotas met. No name was killed by the earnings guard -- the whole list reports between 2026-10-22 and 2026-11-12, 13 sessions out or more. Prohibited-business check: 14 of 15 clear. The exception is flagged below.

The kills, in one line each:

- ELME -- TTM net income ?\$185.31M, EPS ?\$2.10, no analyst coverage, and a 52-week range of \$1.26-\$17.68: a collapse, not a base.

- LTC -- the one name clearing the profile above its 50-day, for the third week, and still a Hold with +4.65% of upside. 4.65% does not pay for 2% of risk.
- AMN -- the target sits below the price (?0.74%), Hold, and **forward PE 43.2 against trailing 13.6** says the market expects earnings to fall by two-thirds.
- PLX -- revenue +30.1% and EPS +205% at PE 11.5, but no analyst coverage at all on a \$218M cap, and rank_low_vol 0.64 fails the profile. **Also flagged for the prohibited-business check** -- see below.
- CCO -- net income ?\$106.01M, beta 2.02, +1.25% to target.
- DRH -- revenue +1.0%, near_high ?8.85 fails the profile, no dated catalyst.
- LPG -- revenue +80.5% at PE 7.6, but the target is 5.54% below the price, and a freight-rate driver would need freshness verification before any entry.
- WK -- the best name the gate removed. Revenue +19.7%, Strong Buy, +24.1% to target, beta 0.49, forward PE 19.3. Killed solely by near_high ?11.58 against the ?5% threshold.
- AVPT -- revenue +25.0%, +18.3% to target; rank_low_vol 0.578 fails the profile.
- CHEF -- +3.96% to target at the 52-week high, PE 55.9, beta 1.44.
- GO -- net income ?\$381.25M, EPS ?\$3.88, and a target 6.61% below the price.
- SBH -- revenue +1.1% and EPS +3.8% for 6.58% of upside; near_high ?6.07 also fails.
- NTCT -- +6.43% to target, near_high ?9.54 fails the profile.
- LILAK -- net income ?\$100M, EPS ?\$0.50, and a target 15.19% below the price.
- TH -- net income ?\$37.68M, EPS ?\$0.38, beta 1.51. A Strong Buy with +33.8% upside does not survive losses at that size.

[!] PLX -- an exclusion question I could not settle, and did not decide. Protalix BioTherapeutics builds recombinant proteins on its ProCellEx plant-cell platform. The quote page lists **Country: United States, headquartered in Hackensack, New Jersey -- so the page does not** support an Israeli-affiliation exclusion. The company's manufacturing and research base is widely understood to be in Israel, which the rules' exclusion covers under affiliation rather than domicile. I killed PLX on grounds I could verify -- the profile failure and the absence of analyst coverage -- and I am not recording a prohibited-business determination I have not established. This needs a decision outside the report: if Protalix counts, it belongs on screener.py's ticker blocklist so it never reaches a funnel again; if it does not, that should be written down too, because it will keep reappearing on the screen.

Stage 2 -- full research

None. No stage-1 name survived. The No Candidates Rule applies: hold cash and explain why; do not force trades. The explanation this week is the measurement above, not a judgement about the individual names.

Research log

All 15 stage-1 names logged (batch, 2026-10-05, week 56): 15 PASS, 0 BUY -- negative-earnings 5 (ELME, CCO, GO, LILAK, TH), valuation 6 (LTC, AMN, LPG, CHEF, SBH, NTCT), weak-catalyst 4 (PLX, DRH, WK, AVPT). research_log.csv now holds 40 rows across weeks 54-56: 2 buys, 38 passes, each carrying its pct_vs_sma50 margin.

3. Exact orders

No buys -- nothing cleared the RISK-OFF rules. One order stands over from Friday:

- Action: UPDATE STOP
- Ticker: CON
- Shares: N/A (3 held)

- Order type: N/A -- GTC stop-limit replacement
- Limit price: N/A
- Time in force: GTC
- Intended execution: 2026-10-05, before the close
- Stop loss / stop limit: \$33.69 / \$33.54 -- the 2.0xATR raise target, below Friday's low of \$34.90 and below the 10-session low
- Sizing: risk falls from \$6.36 (0.89% of equity) to \$4.86 (0.68%); no share change
- Rationale: the first qualifying stop raise this book has produced -- raise size 0.5083xATR at \$33.69 against the 0.50 minimum, with 1.99xATR of room left

The rounding matters and is why the level is \$33.69, not \$33.68. The unrounded 2.0xATR candidate is \$33.682573, which passes the raise-size test by 0.0007. Rounded down to \$33.68 the test reads 0.4981 -- a fail. Rounded up to \$33.69 it reads 0.5083 -- a pass. Placing \$33.68 would put the stop at a level the rule does not permit.

Cash after: unchanged at \$605.25 (85.0% of equity), \$498.42 deployable.

4. Holdings -- by exception

Ticker	Shares	Price	P&L	Stop (room in ATR)	Sessions held	Primary driver	Status
CON	3	\$35.65	+1.0% (+\$1.02)	\$33.19 / \$33.04 (2.50xATR) -> \$33.69 / \$33.54 pending	10	U.S. hiring -> occupational- health visit volumes	Stop raise qualifies; otherwise no change

CON -- the only holding, and behaving. It closed Friday at \$35.65, +1.94%, on 1.4x volume and +1.96pp against a flat XLV, having risen in each of the last two sessions while healthcare fell or stalled. Nothing on the wire since 2026-09-14; Strong Buy, \$41.00 target (+15.0%); earnings 2026-11-05, 24 sessions out. The hiring driver last printed +162,000 in August with upward revisions, and the next payrolls report is the thing to watch.

One thing to keep in view: CON's once-per-entry restoration was spent on 2026-09-22 correcting my original placement error. Once this raise is placed the stop can never move down again. At 1.99xATR of room that is an acceptable trade, but it is one-way, and it is the reason the raise is worth taking now rather than waiting for a larger one.

5. Risk checks after proposed trades

Check	Rule	Result
Position size	<=30% of equity each	PASS -- CON 15.0%
Risk per trade	<=2% of equity at the stop	PASS -- \$4.86 = 0.68% after the raise
Cash floor	>=15% of equity	PASS -- \$605.25 = 85.0% against a \$106.83 floor
Driver cap	<=2 positions per primary driver	PASS -- one holding, one driver
Sector cap	<=3 positions per GICS sector	PASS -- Health Care 1
Position count	ceiling 5-6	PASS -- 1 position
Slippage	<=10% of average daily dollar volume	N/A -- no buys
Regime capacity	RISK-OFF: <=3 catalyst; screener at half risk, defensive profile only	PASS -- no new entries
Circuit breaker	current drawdown vs ?20% / ?30%	PASS -- ?3.33%
Trend-gate margin	each buy above its 50-day; name any	

	pass under +1.0%	N/A -- no buys
Exclusions	no prohibited business, binary thesis, earnings inside 10 sessions, or a ticker	PASS -- ATRC and HOPE excluded by the blackout; PLX flagged, not determined

Every applicable row reads PASS.

6. Thesis summary

CON (Concentra) -- HOLD | Conviction 3/5

3 shares at \$35.65, +1.0% from a \$35.31 entry, 10 sessions held, 15.0% of equity. Driver:

U.S. hiring, which sets occupational-health visit volumes; August payrolls +162,000 with upward revisions, next print early October. Strong Buy, \$41.00 target, earnings 2026-11-05. **A stop raise qualifies for the first time: \$33.69 / \$33.54**, the 2.0xATR target, cutting risk from 0.89% to 0.68% of equity. Place it before the close. Note the rounding -- \$33.68 fails the raise-size test, \$33.69 passes -- and note that CON's restoration is already spent, so this stop will never move down again. What would change the view: two weak payroll prints, or visit volumes lagging headline hiring.

Portfolio. One position, 85% cash, and a second consecutive no-buy week -- but the reason is now measured rather than asserted. **Of 100 screened names, 16 clear near_high >= 75%, 2 clear the full defensive profile, and 1 clears it while also above its 50-day SMA** -- LTC, for the third week, at under 5% upside on a Hold. The binding condition is proximity to the 60-day high, and it is scarce because the regime that invokes the allowance is defined by the market being below its own average. The gate is anti-correlated with its own precondition. **Before the next report:** place CON's stop raise; decide the PLX exclusion question so it stops recurring; and take the near_high measurement to the rules process rather than to another weekend report -- this is the third week it has produced the same answer, and the Phase 4 sunset review is where it belongs. Re-entry bans: ATRC ~2026-10-15, HOPE ~2026-10-13.

Sources

- stockanalysis.com quote pages for all 15 stage-1 names -- ELME, LTC, AMN, PLX, CCO, DRH, LPG, WK, AVPT, CHEF, GO, SBH, NTCT, LILAK, TH (<https://stockanalysis.com/stocks/TICKER/>) -- revenue, EPS, rating, target, 52-week position and next-earnings behind every kill above -- accessed 2026-10-05
- stockanalysis.com -- <https://stockanalysis.com/stocks/PLX/company/> -- Protalix listed as Country: United States, headquartered in Hackensack, New Jersey; the page does not establish or exclude Israeli affiliation -- accessed 2026-10-05
- stockanalysis.com -- <https://stockanalysis.com/stocks/CON/> -- CON \$35.65, Strong Buy, \$41.00 target, earnings 2026-11-05 -- accessed 2026-10-05
- StockTitan -- <https://www.stocktitan.net/news/CON/> -- news check: nothing since 2026-09-14 -- accessed 2026-10-05
- Start Your Own/watchlist.csv and watchlist_extended.csv, generated 2026-10-05 -- the threshold counts: 54 / 73 / 16 of 100 on the three profile conditions, 2 on all three, 1 also above its 50-day
- trading_script.py <research_trigger> and <market_regime> -- the trigger, the blackout and the regime; IWM \$281.52 vs a \$292.58 50-day

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